



About the Company

- Kaynes Technology India Ltd is an integrated **Electronics System Design & Manufacturing (ESDM)** company with over 37 years of operational experience.
- Kaynes offers an end-to-end portfolio of capabilities across six strategic verticals as outlined below

Automotive	Industrial & EV	Railways	Medical	Aerospace, Outerspace & Strategic electronics	IOT/IT, Cons and others
Cluster PCBA	Engine Control Panel	UM71 - Receiver	Endoscopy cart & ICP sensor module	HH Sonar	Bar Code Scanner & RFID gateway
LED Headlamp/Tail Lamp/LED Position Lamp/DRL PCBA	Street light controller	ETCS cubicle	X-ray & Dental X-ray machine	Mission Critical Products ²	PLC & Asset Condition Monitoring gateway
Switches PCBA ¹	Smart Energy Meter	SDTC cubicle	Controller Units	ESAF	Sensors
BCU Master / BCU Slave PCBA	Precision Bridge and Strain Gage	SDTC Card File	Protein & clinical chemistry analyzers	ATE & LRU Cable Assemblies	Industrial HMI Reader & Industrial Tablet

1 - Headlamp level switch / Steering control switch / Windowlift Motor/ Rocker Switch PCBA | 2 - Kaynes has been a valuable industry partner for soft landing of Chandrayaan-3 & launch of Aditya-L1 missions

Market Data

Company Data	Value
Market cap	₹ 25,976 Cr.
CMP	₹ 3,876
Stock P/E	68.5
52 W high/low	₹ 7825 / 3712
RoCE	14.3 %

Result Summary – Q2FY26

	YOY	Sep 2025	Jun 2025	Sep 2024
Sales	↑ 58%	906	673	572
EBIDT	↑ 80%	148	113	82.1
Net profit	↑ 102%	121	74.6	60.2
EPS	↑ 92%	₹ 18.11	₹ 11.14	₹ 9.41

Observations from Kotak Institutional Equities & Our View

Disclosure Inconsistencies

Kotak's Observations

1. Related Party Transactions

Iskraemeco's (Kaynes' newly acquired subsidiary) financial statements showed purchases of ₹180 crore from Kaynes Electronics Manufacturing during FY24-25, but this disclosure was missing in Kaynes' standalone financial statements.

2. Iskraemeco's Unusual Profits

Reported profits at Iskraemeco surged soon after acquisition, which Kotak finds inconsistent with historical performance.

3. Capitalization of Technical Know-how

A considerable amount from acquisitions was recognised as intangible assets (technical know-how) rather than goodwill. Classification of assets, such as customer contracts and technical know-how, appears unusual and inflates the balance sheet.

Management Response / Our View

- Kaynes admitted that this was due to an **error in the ERP system**, which failed to tag Iskraemeco as a related party when Kaynes acquired it mid-year.
- The transactions were **eliminated in consolidated financials** and **do not have any impact on the numbers**.
- This is an opportunity for the company to strengthen its internal control systems and implement better ERP and accounting systems.

- Management states that **pre-acquisition losses were "kitchen-sunk"** (front-loaded).
- The subsidiary had taken large losses, including inventory write-downs as part of a clean-up, which artificially resulted in losses in the first half, thereby showing profits post-acquisition.
- This practice is **legal and permitted under accounting standards**.

- Management claims the accounting treatment follows **Ind AS** norms. They argue that customer contracts and technology assets legitimately carry long-term value.
- Classifying as intangible assets instead of goodwill is a **more conservative approach** as it forces the company to take an amortisation expense, reducing future profits.

Observations from Kotak Institutional Equities & Our View

Financial Health Concerns

Kotak's Observations

1. Average Borrowing Cost of 17.7%

The company faced an exceptionally high average borrowing cost of 17.7% in 2025.

2. Increase in Cash Conversion Cycle to 157 Days

Kotak calculated the consolidated cash conversion cycle at 157 days, up 22 days y-o-y, driven by higher inventory days and receivable days - indicating that the company was collecting cash later and holding more stock relative to sales.

3. Contingent Liabilities at 18% of Net Worth

Contingent Liabilities increased to Rs. 520 Crores (18% of net worth), posing a risk to the company's value

Management Response / Our View

- The company responded that Kotak had **omitted the bill discounting values in their calculation**, which is also a key part of their financing mix and that the calculation methodology is incorrect
- The **effective interest cost falls to less than 10% when calculated using the right method**, which is normal and healthy

- The management disputed **Kotak's calculation methodology to be incorrect**, which came to 157 days.
- When using the correct method **as per ICAI guidelines, it comes to 87 days**, only 4 days higher than FY24 figures.

- A major chunk of the **contingent liabilities arises from corporate guarantees to its subsidiaries**.
- These are **standard business instruments necessary to support the operational ramp-up** and large-scale projects undertaken by our subsidiaries and are not a major source of concern.

Our Final Take

- Despite the accounting concerns highlighted in the Kotak report, it is important to **view Kaynes Technology within the broader context of its business fundamentals.**
- While certain disclosures and accounting treatments require better clarity and system strengthening, the **explanations provided by management appear reasonable and largely within the framework of** prevailing accounting standards.
- **None of the issues flagged point to operational weakness, loss of customers, order cancellations, or deterioration in competitive position.**
- This episode may **catalyse stronger internal controls, tighter financial reporting discipline, and more transparent communication with investors**—ultimately enhancing long-term credibility.
- More importantly, **with fundamentals intact and valuations now more aligned with long-term value**, the stock presents a more attractive entry zone for investors willing to look beyond short-term noise.

“The time of maximum pessimism is the best time to buy.” – John Templeton

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SEBI Reg No: INP000004482

APMI No: 0178



pms@moatindia.com



Head office

3rd Floor, National Pearl Star,
Behind Changampuzha Park
Metro Station, Edappally,
Kochi, Kerala, 682024



+91 9895590168



www.moatindia.com

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